

Australian Equities Note

Atchison acknowledges that the use of ASX: IOZ within the Australian Equity sleeve was discussed at the most recent Investment Committee meeting. However, it was ultimately agreed that ##### would retain the current portfolio of market segment ETFs to preserve the flexibility to express conviction at a more granular level.

However, following last month's meeting there has been some observations outlined below that warrant consideration and have re-opened the case for consolidating into IOZ.

What is happening?

The recent lookback data highlights a notable divergence in the performance of various Australian equity market segments relative to the broader market, as proxied by the iShares Core S&P/ASX 200 ETF (ASX: IOZ), referenced in the below dataset as "BM_AusShares".

Code	1 Month	2 Months	3 Months	6 Months	1 Year
ISO-AU	1.52	-2.50	-4.49	-2.24	2.33
MVE-AU	1.54	-1.76	-6.47	0.27	5.91
SFY-AU	3.44	0.19	-3.81	1.18	10.08
SMLL-AU	1.12	-0.83	-3.74	-1.27	3.51
BM_AusShares	3.62	0.10	-3.70	1.21	9.67

Over the three-month and six-month periods, IOZ—representing the benchmark—has outperformed all three major capitalisation-based segments:

- Large Cap (SFY-AU)
- Mid Cap (MVE-AU)
- Small Cap (SMLL-AU, ISO-AU)

This outcome is somewhat counterintuitive. Given that IOZ is market capitalisation-weighted, it includes exposure to all these segments. Under normal market conditions, performance of the overall benchmark (IOZ) should logically fall somewhere between the individual segment returns.

Why is this happening?

ASX Code	Fund Name	Fund Inception Date	ASX Listing Date		1 Month (%)	3 Months (%)	6 Months (%)	1 Year (%)
IOZ	iShares Core S&P/ASX 200 ETF	6/12/2010	9/12/2010	Growth Return	2.70	-4.55	-0.22	6.11
				Distribution Return	0.96	0.89	1.47	3.60
				Total Fund Return	3.66	-3.66	1.25	9.71
				Index	3.62	-3.69	1.24	9.79

ISO	iShares S&P/ASX Small Ordinaries ETF	6/12/2010	9/12/2010	Growth Return	1.83	-4.69	-3.33	0.69
				Distribution Return	0.00	0.00	1.06	1.90
				Total Fund Return	1.83	-4.69	-2.27	2.60
				Index	1.84	-4.58	-1.99	3.73

Performance		
Total Net Return (AUD)	Fund (%)	Index (%)
1 Month	-5.83	-5.83
3 Month	-4.90	-4.89
6 Month	9.10	9.14
1 Year	13.21	13.33
3 Year p.a.	15.92	16.06
5 Year p.a.	18.01	18.17
Since Inception p.a.	10.44	10.69

SFY =

Performance							
	1 Month (%)	3 Months (%)	1 Year (%)	3 Year (% p.a.)	5 Year (% p.a.)	10 Year (% p.a.)	Since Inception (% p.a.)
Price return	3.31	-5.03	4.42	2.06	10.09	5.73	2.44
Income return	0.00	0.00	3.19	3.33	3.15	3.15	2.73
Total return	3.31	-5.03	7.61	5.39	13.24	8.88	5.17
MVE index	3.35	-4.92	8.12	5.89	13.78	9.31	5.47
S&P/ASX MidCap 50 Index	3.35	-4.92	8.12	5.89	13.78	10.21	11.31

MVE =

Performance								
PERIOD	1 mth	3 mth	6 mth	1 yr	3 yr (p.a.)	5 yr (p.a.)	10 yr (p.a.)	Inception (p.a.)*
FUND	2.34%	-3.21%	-0.29%	4.23%	0.17%	9.49%	-	6.22%
INDEX	2.37%	-2.95%	0.03%	4.93%	0.61%	10.19%	-	6.72%
S&P/ASX SMALL ORDS	1.84%	-4.58%	-1.99%	3.73%	0.29%	7.73%	6.33%	5.87%

SMLL=

Tracking Error: Subtle, But Cumulative

Tracking error refers to the deviation between an ETF's performance and the performance of the index it is designed to replicate. It can arise from:

- Rebalancing delays or frictions (e.g. mid and small caps are less liquid and harder to trade efficiently).
- Corporate actions or index reconstitutions that aren't implemented exactly on time.
- Rounding and sampling effects, especially in smaller ETFs with fewer holdings or limited scale.
- Cash drag from dividends not yet reinvested.

For MVE and SMLL, which track less liquid segments of the market, these issues are more pronounced. Over time, even small tracking errors compound, leading to return shortfalls relative to the index — and to a well-run fund like IOZ.

Fees: IOZ Has a Cost Advantage

ETF	Fee
IOZ (ASX200)	0.05% p.a.
SFY (ASX 50)	0.29% p.a.
MVE (Mid-cap 50)	0.30% p.a.

SMLL (Small-Cap)	0.39% p.a.
ISO (Small Ords)	0.55% p.a.

IOZ's significantly lower cost structure means it retains more of the index's return, especially over 6–12 months. In contrast, higher-cost segment ETFs like SMLL and MVE lose more return to fees — which matters more when gross returns are modest or volatile.

Even if segment ETFs perfectly track their respective indices, and we reweight them exactly to match IOZ's cap weights, you'd still see:

- Higher fees reducing their aggregate net return, and
- Tracking error slightly eroding performance, particularly in small/mid caps.

This helps explain how IOZ — with ultra-low fees and high tracking efficiency — can outperform all three component ETFs, even though it's constructed from the same universe.

Furthermore, IOZ is one of the most liquid and efficient ETFs in the Australian market, with minimal tracking error. In contrast, segment ETFs—especially those focused on mid and small caps—face higher trading frictions, rebalancing drag, and execution challenges, which can cause deviations from index returns.

SMLL vs ISO

Feature	SMLL (BetaShares)	ISO (iShares)
Index	Nasdaq Australia Small Cap Select	S&P/ASX Small Ordinaries Index
Methodology	Screened, quality-focused	Pure market-cap weighted
Profitability Filter	Yes (positive earnings)	No
Style Bias	Quality, earnings consistency	Broad market, includes speculative names
Volatility	Lower expected volatility	Higher due to unfiltered small-cap exposure
Fee	0.39% p.a.	0.55% p.a.

From a portfolio construction perspective:

- ISO provides broad small-cap beta, suitable for capturing general small-cap cycles but includes unprofitable and volatile names, leading to higher drawdown risk.
- SMLL, with its quality and profitability screens, offers a refined exposure to the small-cap universe, better aligned with capital preservation objectives and downside risk control—particularly relevant in late-cycle environments or rising rate periods.

The S&P/ASX Small Ordinaries Index, while commonly used as a benchmark for small-cap exposure in Australia, has several structural limitations that make it less than ideal for long-term investors. One key issue is that the index simply includes all companies ranked 101 to 300 by market capitalisation, without regard for business quality, profitability, or price stability. As a result, it often captures companies that have fallen out of the ASX 100—including former large- or mid-cap names experiencing structural decline, earnings deterioration, or severe de-rating. These “fallen angels” can introduce unwanted exposure to troubled or speculative businesses, skewing the risk-return profile of the index. Furthermore, the index's market-cap weighting amplifies the impact of these underperformers. In contrast to more refined or screened approaches, the Small Ordinaries offers no quality filter or sector diversification guardrails, making it a blunt instrument that can underdeliver, particularly in periods of economic stress or when quality and earnings consistency are rewarded.

Atchison prefers SMLL over ISO for most use cases due to its lower fee, disciplined screening methodology, and improved risk-adjusted characteristics. It may be positioned as a higher-conviction satellite exposure within a diversified Australian equities sleeve, rather than broad small-cap beta.

Next Steps

Given the observed performance dispersion and structural inefficiencies across the segment ETFs (SFY, MVE, SMLL, ISO), Atchison recommends exiting the standalone segment ETF positions and consolidating into IOZ as

the core Australian equities holding. IOZ provides a broad, low-cost, and highly efficient exposure to the full S&P/ASX 200, capturing the weighted performance of the Australian market with minimal tracking error and administrative complexity.

Going forward, Atchison proposes to adopt a tactical overlay approach: maintaining IOZ as the default anchor allocation, and selectively tilting toward large, mid, or small cap exposures when there is strong macro or valuation-driven conviction in a specific segment. This allows for targeted expression of active views without diluting the benefits of efficient benchmark capture.

This shift ensures:

- Improved cost efficiency and return consistency via IOZ
- More flexible, high-conviction segment positioning when warranted
- Streamlined portfolio management and reduced structural drag from higher-fee ETFs

In summary, this approach positions the portfolio to remain anchored in high-quality beta, while preserving the ability to add alpha through selective, conviction-led tactical allocations.

Healthcare Analysis

Overview

This report analyses ##### healthcare exposure as of 30 April 2025, examining both the aggregate sector weight and the composition across subsectors, geographies, and instruments. It evaluates the performance impact of key holdings, identifies areas of concentration and redundancy, and benchmarks positioning relative to global indices.

Portfolio Constituents – 30th April 2025

Ticker	Name	Weight	HC Exposure	Type HC Exposure	3m% TR	1yr % TR	3yr % TR
IXJ-AU	iShares Global Healthcare ETF	3.01%	100.00%	Direct	-6.53	1.33	5.79
CURE-AU	Global X S&P Biotech ETF	2.42%	100.00%	Direct	-15.80	-3.78	5.37
DRUG-AU	BetaShares Global Healthcare ETF (Hgd)	2.04%	100.00%	Direct	-6.33	-3.44	1.16
MOAT-AU	VanEck Morningstar Wide Moat ETF	0.94%	24.70%	Direct	-13.70	1.67	11.14
ETHI-AU	BetaShares Global Sustainability Leaders ETF	3.01%	14.70%	Direct	-9.99	5.85	12.59
REIT-AU	VanEck FTSE International Property (Hgd)	5.51%	12.90%	HC REITs	-2.20	12.88	-5.80
VGS-AU	Vanguard MSCI Index International Shares	17.31%	10.90%	Direct	-8.05	12.12	14.19
	MSCI Index International Shares Hgd	0%	10.90%	Direct	-6.25	9.83	9.84
RBTZ-AU	BetaShares Global Robotics & AI ETF	1.79%	10.80%	HC Equipment	-17.41	-4.44	9.38
SFY-AU	SPDR S&P/ASX 50 ETF	18.17%	10.07%	Direct	-3.81	10.08	7.57
MVE-AU	VanEck S&P/ASX Mid-Cap ETF	4.00%	8.30%	Direct	-6.47	5.91	4.92
QSML-AU	VanEck Global Small Companies Quality ETF	3.06%	8.20%	Direct	-11.27	2.66	13.30
ISO-AU	iShares S&P/ASX Small Ordinaries ETF	1.33%	5.23%	Direct	-4.49	2.33	-0.19
SMLL-AU	BS Aus Small Companies (Managed Fund)	2.39%	3.50%	Direct	-3.74	3.51	0.13
VAP-AU	Vanguard Aus Property Securities Index ETF	4.41%	0.20%	HC REITs	-5.85	8.16	4.67
LEND-AU	VanEck Global Listed Private Credit (Hgd)	11.07%	0.00%	NA	-8.92	-1.93	
VIF-AU	Vanguard International Fixed Interest (Hgd)	6.26%	0.00%	NA	1.66	4.64	0.17
MMKT-AU	BetaShares Australian Cash Plus Active ETF	3.03%	0.00%	NA	1.08		
AUD	Australian Dollar	2.38%	0.00%	NA			
GOLD-AU	Global X Physical Gold ETF	1.69%	0.00%	NA	14.48	44.10	24.03
IAF-AU	iShares Core Composite Bond ETF	1.57%	0.00%	NA	2.79	6.95	2.76
IGB-AU	iShares Treasury ETF	1.57%	0.00%	NA	2.73	6.31	2.14
USHY-AU	Global X USD High Yield Bond Hgd	1.53%	0.00%	NA	0.62	7.92	
CRED-AU	BetaShares Aus IG Corporate Bond	1.53%	0.00%	NA	2.17	9.93	5.62
Total Portfolio		100.00%	13.51%				
Total Equity Proportion		69.38%	19.47%				

- ##### equity portfolio has 19.47% exposure to healthcare - exceeding both the MSCI World Index (10.9%) and the ASX 200 (9.23%), indicating a strategic overweight to healthcare.
- Over half of the healthcare exposure is held via dedicated healthcare ETFs, reflecting a deliberate and high-conviction allocation rather than passive index weight.
- Additional healthcare exposure is embedded within ETHI-AU, RBTZ-AU, contributing partial exposure to healthcare innovation and sustainability.
- Healthcare REITs through REIT-AU, and VAP-AU add a property-linked dimension to the healthcare allocation, diversifying the sector exposure across real assets and operational businesses.
- 26.4% of the total portfolio is hedged in AUD.

- Top 3 ETFs with 100% exposure to Healthcare (IXJ, CURE, DRUG) have been a drag relative to MSCI World Hedged and Unhedged.
- CURE detracted significantly over 3 months due to political uncertainty, tighter funding, and weak biotech M&A activity. Regulatory instability under the Trump administration and RFK Jr. rattled investor confidence.

Largest Individual Health Care Exposures

Ticker	Name	Country	Total Weights	Subsector
CSL	CSL LTD	Australia	1.094709347	Biotechnology
LLY	ELI LILLY	United States	0.588994617	Pharmaceuticals
ABBV	ABBVIE INC	United States	0.439547205	Biotechnology
JNJ	JOHNSON & JOHNSON	United States	0.380055669	Pharmaceuticals
UNH	UNITEDHEALTH GROUP INC	United States	0.360125497	Health Care Providers & Services
ISRG	INTUITIVE SURGICAL INC	United States	0.357667733	Health Care Equipment & Supplies
WELL	Welltower Inc	US	0.342954676	Health Care REITs
ROG	ROCHE HOLDING PAR AG	Switzerland	0.257209139	Pharmaceuticals
AZN	ASTRAZENECA PLC	United Kingdom	0.250473518	Pharmaceuticals
AMGN	AMGEN INC	United States	0.240007351	Biotechnology
ABT	ABBOTT LABORATORIES	United States	0.23665781	Health Care Equipment & Supplies
RMD	RESMED INC	United States	0.232999386	Health Care Equipment & Supplies
MRK	MERCK & CO INC	United States	0.228470469	Pharmaceuticals
NOVN	NOVARTIS AG	Switzerland	0.226134029	Pharmaceuticals
GILD	GILEAD SCIENCES INC	United States	0.214801192	Biotechnology
VRTX	VERTEX PHARMACEUTICALS INC	United States	0.184865363	Biotechnology
TMO	THERMO FISHER SCIENTIFIC INC	United States	0.181563923	Life Sciences Tools & Services
PFE	PFIZER INC	United States	0.17663215	Pharmaceuticals
NOVO	NOVO NORDISK CLASS B	Denmark	0.174245588	Pharmaceuticals
SIG	SIGMA HEALTHCARE LTD	Australia	0.168676901	Health Care Providers & Services
SYK	STRYKER CORP	United States	0.161625853	Health Care Equipment & Supplies
COH	Cochlear Ltd	Australia	0.160844443	Health Care Equipment & Supplies
SAN	SANOFI SA	France	0.160185218	Pharmaceuticals
DHR	DANAHER CORP	United States	0.157020372	Life Sciences Tools & Services
BSX	BOSTON SCIENTIFIC CORP	United States	0.155483488	Health Care Equipment & Supplies
PME	Pro Medicus	Australia	0.132369381	Health Care Technology
SHL	SIEMENS HEALTHINEERS AG	Germany	0.130861302	Health Care Providers & Services
REGN	REGENERON PHARMACEUTICALS INC	United States	0.124721662	Biotechnology
EL	ESSILORLUXOTTICA SA	France	0.122693101	Health Care Equipment & Supplies
BMJ	BRISTOL MYERS SQUIBB	United States	0.122583723	Pharmaceuticals
MDT	MEDTRONIC PLC	United States	0.114707053	Health Care Equipment & Supplies

- The top 10 holdings account for 4.3% of total portfolio exposure – highlighting a concentrated bet on large-cap, innovation-driven leaders across biotechnology, pharmaceuticals, and equipment.
- United States companies represent 61% of the total listed holdings (exceeding this list above), highlighting geographic concentration in the world's most mature and well-capitalised health care market.
- The portfolio is weighted towards Biotechnology through, CSL Limited, Amgen Inc., Gilead Sciences Inc.
- Welltower Inc offers property exposure tied to aged care and medical real estate. Meanwhile, Pro Medicus Ltd reflects a growing tilt toward health care technology.

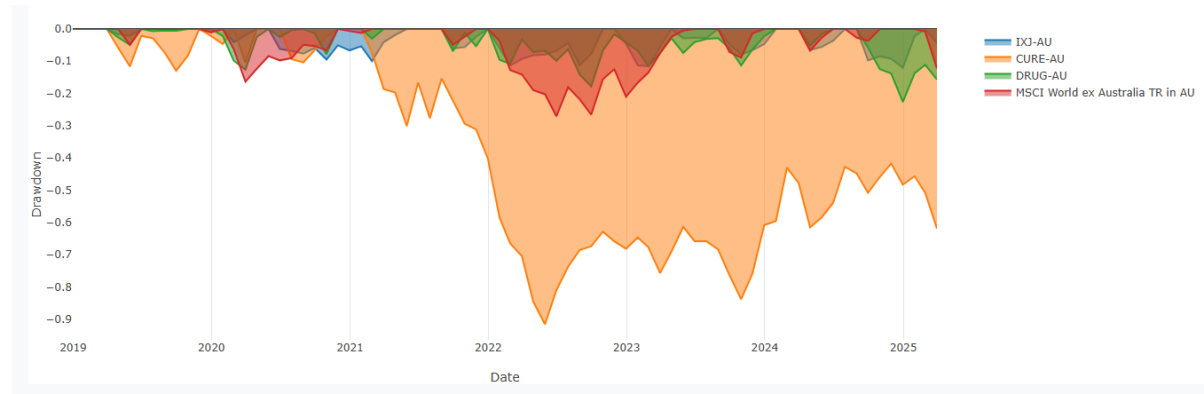
Healthcare Sub-Sector Exposure

Sub Sector Analysis	Current Exposure	MSCI World Healthcare Index	Difference
Biotechnology	28%	14.92%	13.52%
Pharmaceuticals	27%	42.30%	-15.48%
Health Care Providers & Services	13%	11.04%	2.04%
Health Care Equipment & Supplies	21%	20.36%	0.26%
Health Care REITs	5%	3.42%	1.71%
Life Sciences Tools & Services	4%	7.27%	-3.03%
Health Care Technology	2%	0.67%	0.99%

- Significant overweight to biotechnology due to CURE ETF.
- Significant underweight to pharmaceuticals relative to MSCI World Healthcare index.

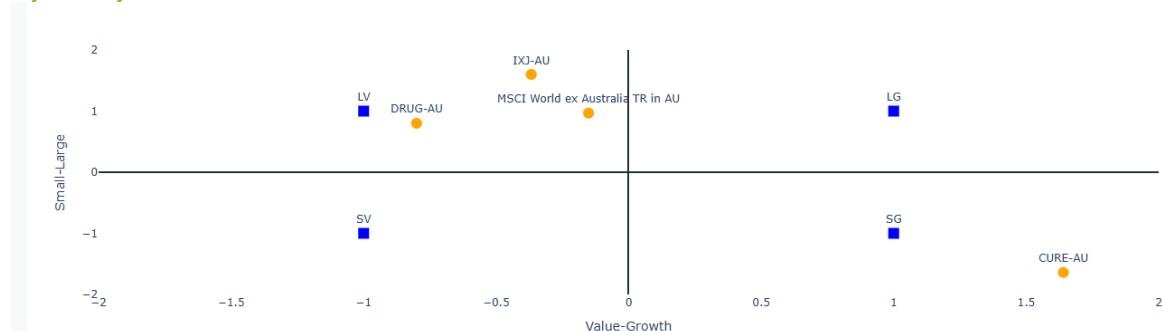
CURE, IXJ, DRUG Analysis

Drawdown



- Noteworthy drawdown from CURE ETF.

Style Analysis



- Both IXJ and DRUG are growth and value orientated, whilst CURE is vastly differentiated from a style basis - with a focus on growth small cap companies.

Correlation 1 year

Period: 1 year • Currency: Australian Dollars

Positive Correlation Low Correlation Negative Correlation

Name	BetaShares - Global Healthcare Currency Hedged ETF TR in AU	BlackRock - iShares Global Healthcare ETF NAV TR in AU	Global X - Global X S&P Biotech ETF TR in AU
BetaShares Global Healthcare Currency Hedged ETF TR in AU		0.78	0.41
BlackRock iShares Global Healthcare ETF NAV TR in AU	0.78		0.59
Global X Global X S&P Biotech ETF TR in AU	0.41	0.59	

Correlation 3 years

Period: 3 years • Currency: Australian Dollars

Positive Correlation Low Correlation Negative Correlation

Name	BetaShares - Global Healthcare Currency Hedged ETF TR in AU	BlackRock - iShares Global Healthcare ETF NAV TR in AU	Global X - Global X S&P Biotech ETF TR in AU
BetaShares Global Healthcare Currency Hedged ETF TR in AU		0.80	0.28
BlackRock iShares Global Healthcare ETF NAV TR in AU	0.80		0.34
Global X Global X S&P Biotech ETF TR in AU	0.28	0.34	

- Both IXJ and DRUG are highly correlated, whilst CURE is uncorrelated over 1 and 3 years.

Equal Weight ASX Healthcare Portfolio

Ticker	Name	Sub Sector	Growth of Free Cash Flow	Return on Total Equity	Net Profit Margin	Total Debt / Equity	Forward 1 yr PE Ratio
CSL.ASX	CSL LTD	Biotechnology	-3.4743	14.5808	17.8513	0.627957	23.4864
RMD.ASX	RESMED CDI INC	Equipment & Supplies	16.1276	22.703	21.7905	0.179672	24.77609
COH.ASX	COCHLEAR LTD	Equipment & Supplies	23.2306	19.8813	15.9599	0.132409	43.7356
SIG.ASX	SIGMA HEALTHCARE LTD	Pharmaceuticals		67.9026	16.4221	1.832494	49.24427
PME.ASX	PRO MEDICUS LTD	Technology	34.7888	50.7154	51.2653	0.011021	257.5057
SHL.ASX	SONIC HEALTHCARE LTD	Providers & Services	-3.0709	6.7988	5.6994	0.559205	24.60125
TLX.ASX	TELIX PHARMACEUTICALS LTD	Biotechnology	64.1362	13.9219	6.3736	1.023292	57.94021
RHC.ASX	RAMSAY HEALTH CARE LTD	Providers & Services	31.2614	5.0875	5.3342	1.979538	28.3952
FPH.ASX	FISHER AND PAYKEL HEALTHCARE COR	Equipment & Supplies					
ANN.ASX	ANSELL LTD	Equipment & Supplies	-3.4849	4.3964	4.7242	0.448748	16.61677

- Average forward PE 58.4779
- 40% exposure to Equipment and Supplies, 20% exposure to Biotechnology, 10% pharmaceuticals

Conclusion

Healthcare exposure is both deliberate and differentiated, with an equity allocation of 19.47%, strategically overweight versus global (MSCI World 10.9%) and domestic (ASX 200 9.23%) benchmarks. This conviction is reflected in high allocations to dedicated healthcare ETFs and strong positions in global leaders such as CSL Limited and Eli Lilly. The portfolio's significant tilt toward biotechnology (28%) is a double-edged sword - offering long-term innovation exposure but resulting in recent drawdowns, particularly from the Global X S&P Biotech ETF (CURE) amid political uncertainty and funding constraints. While pharmaceuticals are underweight relative to the MSCI index, balanced exposures to equipment, REITs, and emerging health tech (e.g., Pro Medicus Limited (PME)) add valuable diversification.

The iShares Global Healthcare ETF (IXJ) and the Beta Shares Global Healthcare ETF (DRUG) exhibit high correlation over both one- and three-year periods, suggesting a degree of overlap in portfolio exposure. Both ETFs provide broad, diversified access to global healthcare equities, with comparable allocations across large-cap pharmaceutical, biotechnology, and medical device companies. While DRUG is AUD-hedged and IXJ is unhedged, currency exposure remains their key point of differentiation. Given their similar risk-return profiles and shared growth and value characteristics, retaining both may offer limited incremental diversification. Consolidating into one - based on currency preference could create room for more differentiated healthcare exposures, such as health tech, life sciences tools, or emerging markets healthcare.

Alternatives Sleeve

What are Alternative Assets?

Alternative assets refer to investments that fall outside the realm of traditional asset classes such as equities, bonds, and cash. Broadly, they include:

- Non-traditional asset classes such as private equity, hedge funds, real estate, infrastructure, commodities, and collectables. These often exhibit low correlation to public markets, offering potential diversification and downside protection.
- Alternative strategies within traditional asset classes, where returns are generated in non-conventional ways—for example, through long-short equity, event-driven trades, market-neutral strategies, or absolute return mandates.

In both cases, the distinguishing feature of alternative assets is their return profile, which is driven by factors other than broad equity or interest rate beta—such as illiquidity premiums, structural inefficiencies, or specialised skill-based alpha.

What role do alternative assets play in a portfolio?

1. **Capital Growth:** Certain alternative assets—such as private equity, venture capital, and infrastructure—offer the potential for long-term capital appreciation. These investments often focus on less efficiently priced markets, where active ownership and operational improvements can unlock substantial value. Because they are less tied to public market sentiment, they can deliver idiosyncratic returns over time, especially when backed by skilled managers with access to niche opportunities.
2. **Income Generation:** Alternatives can also serve as reliable income-producing investments. Assets such as real estate, private credit, infrastructure, and certain hedge fund strategies generate steady, contractual cash flows through mechanisms like rental income, interest payments, or usage fees. These sources of income are often less sensitive to interest rate movements and may include inflation-linked components, which can enhance purchasing power over time.
3. **Risk Diversification:** One of the most compelling attributes of alternatives is their ability to improve portfolio diversification. Many alternative strategies exhibit low or even negative correlation to traditional market risk factors—such as equity beta or duration risk. This means they can act as counter-cyclical buffers, particularly during periods of equity market volatility or rising bond yields. By introducing distinct return drivers, alternatives can help reduce portfolio-level volatility and enhance overall risk-adjusted returns.
4. **Capital Preservation and Safety:** Some alternative assets are designed primarily with capital preservation in mind. For example, market-neutral hedge funds, absolute return strategies, and certain real asset exposures can provide downside protection in turbulent markets. These strategies typically focus on managing drawdown risk, employing hedging techniques, structural protections, or contractual cash flows to limit capital loss. In this way, they play a defensive role, especially valuable during periods of macroeconomic stress or regime change.

Incorporating alternative assets into a portfolio enables investors to move beyond the traditional equity/bond paradigm, balancing growth, income, diversification, and capital stability. When selected and implemented thoughtfully, they can meaningfully enhance the resilience and performance consistency of multi-asset portfolios across a full market cycle.

Current ##### Alternatives Sleeve

Code	Name	Sleeve
CURE-AU	ETFS S&P Biotech ETF	Alternatives
MOAT-AU	VanEck Morningstar Wide Moat ETF	Alternatives
RBTZ-AU	BetaShares Global Robotics and Artificial Intelligence ETF	Alternatives
GOLD-AU	ETFS Physical Gold	Alternatives

While ETFs like ASX: CURE (Global Healthcare), ASX: MOAT (Wide Moat US Equities), and ASX: RBTZ (Global Robotics and AI) can be marketed as “alternative exposures” due to their thematic or sector-specific focus, they do not qualify as true alternatives in a portfolio construction sense.

Despite their distinct narratives, these vehicles represent pure equity beta, and their returns are predominantly driven by the same macroeconomic and market forces that influence broader equity indices. As such, allocating to these ETFs does not provide the diversification, income stability, capital preservation, or uncorrelated alpha that characterise a genuine alternatives sleeve.

Instead, these investments are better viewed as tactical equity tilts or satellite growth positions—not substitutes for true alternatives such as private markets, absolute return strategies, or real assets that play a structurally different role in risk-managed portfolios.

What are some liquid market alternatives?

- **JPMorgan Equity Premium Income ETF (ASX: JEPI)** – despite being fundamentally an equity portfolio. JEPI invests primarily in high-quality, low-volatility U.S. large-cap stocks, but distinguishes itself by implementing a systematic covered call overlay using equity-linked notes (ELNs). This approach generates regular premium income, which helps to enhance yield and reduce reliance on capital gains for total return. While JEPI maintains equity beta exposure, the option premiums act as a cushion during sideways or mildly negative markets, offering a partial buffer against drawdowns.
- **Betashares Australian Equities Strong Bear Hedge Fund (BBOZ)** – Can provide pure negative beta exposure. However, due to daily rebalancing and alpha decay effects, Atchison do not recommend this as a viable long-term investment. BBOZ represents a highly tactical, liquid alternative strategy, suitable for experienced investors looking to actively manage risk exposure.
- **Various liquid precious metals ETFs**—such as those offering exposure to gold, silver, platinum, or a basket of metals—can serve as alternative assets within a diversified portfolio due to their distinct return drivers, inflation sensitivity, and defensive characteristics. While these ETFs are listed and liquid, their underlying assets—physical commodities—behave very differently from traditional equities and bonds.
- **Crypto ETFs** – Providing exposure to digital assets such as Bitcoin and Ethereum. While early narratives often promoted cryptocurrencies as a hedge against inflation or uncorrelated diversifier, these claims have largely been disproven by empirical data. In practice, major cryptocurrencies have tended to correlate more closely with risk assets, particularly high-growth equities, during periods of market stress or monetary tightening. However, despite their limited hedging utility, crypto assets continue to behave differently from traditional asset classes, driven by unique market structures, adoption cycles, regulatory developments, and technological innovation.
- **L1 Long Short Fund Ltd** - Long/short equity funds are a widely used form of liquid alternative strategy, offering investors exposure to equity markets while employing techniques designed to mitigate risk and enhance return asymmetry. These funds typically combine long positions in undervalued stocks with short positions in overvalued or structurally challenged companies, aiming to profit from both rising and falling share prices.
- **VanEck Global Listed Private Equity ETF** – Offers exposure to publicly listed private equity firms, such as asset managers and investment holding companies. While it provides a degree of thematic alignment with private equity, it is important to recognise that this remains public market exposure. As such, it does not capture the core characteristics that define private equity’s appeal such as illiquidity premiums and operational control.

Difficulties gaining exposure in the liquid ETF Market

Gaining exposure to genuine alternative assets through the liquid ETF market is inherently challenging due to the structural nature of most alternative strategies. True alternatives—such as private equity, private credit, infrastructure, hedge funds, or real assets—often rely on illiquidity premiums, long investment horizons, and complex deal structures that cannot be effectively replicated within the daily liquidity constraints of ETFs.

Additionally, many alternative strategies require active management, bespoke underwriting, or access to niche markets—features that are difficult to package into rules-based, index-tracking vehicles. While some ETFs attempt to mimic alternatives through proxies, these exposures tend to behave much like traditional equities and offer limited diversification during periods of market stress.

As a result, Atchison recommends that ##### look beyond the ETF universe when seeking the true diversification, downside protection, and differentiated return sources that alternative assets can offer. While ETFs provide liquidity and convenience, they often fail to capture the structural and behavioural characteristics that define genuine alternatives—making less liquid, actively managed solutions a more effective path to achieving these portfolio benefits.

Options in the Managed Funds Universe

- **Active Currency Managers (Example: P/E Global FX Alpha)** - Active currency managers such as P/E Global FX Alpha represent a compelling form of liquid alternative, offering differentiated return drivers and structural diversification from traditional asset classes. When thoughtfully integrated, they can act as a stabilising ballast, particularly valuable in portfolios seeking defensiveness without sacrificing liquidity. These strategies also help significantly when managing tail risk in a portfolio.
- **Dispersion and volatility strategies (Example: Atlantic House Uncorrelated Strategies Fund)**- Aim to profit from differences in volatility between individual securities and the broader market (i.e., volatility dispersion), offering returns that are structurally uncorrelated to traditional equity and bond markets. These strategies act as a defensive alternative, providing potential positive carry during stable markets and tail risk protection during volatility spikes—making them valuable as a low-beta diversifier and a volatility hedge within a portfolio's alternative sleeve.
- **Option Overlay Strategies (Example: Talaria Global Equity Fund)** – These serve as an alternative equity income solution, combining global equity exposure with a systematic options overlay to generate consistent income and reduce downside risk—making it well-suited for a portfolio seeking defensive equity participation. In a portfolio, Talaria can be used to enhance income, smooth return volatility, and limit drawdowns, particularly during periods of heightened market uncertainty or muted capital growth—offering a lower-beta alternative to traditional long-only global equity strategies.
- **Market-neutral, quantitative long/short equity strategies (Example: The Franklin K2 Athena Fund)** – Seek to generate alpha through stock selection while maintaining minimal net market exposure—positioning it as a true alternative with returns largely uncorrelated to equity market direction. In a portfolio, the fund can be used to diversify risk, enhance return consistency, and reduce overall volatility, particularly in sideways or volatile markets. Its low correlation and capital preservation focus make it a valuable core holding within a liquid alternatives sleeve.

From Atchison's perspective, incorporating funds such as the above, offers ##### ETF-based portfolio a meaningful enhancement in diversification, downside management, and consistency of returns, without compromising liquidity.

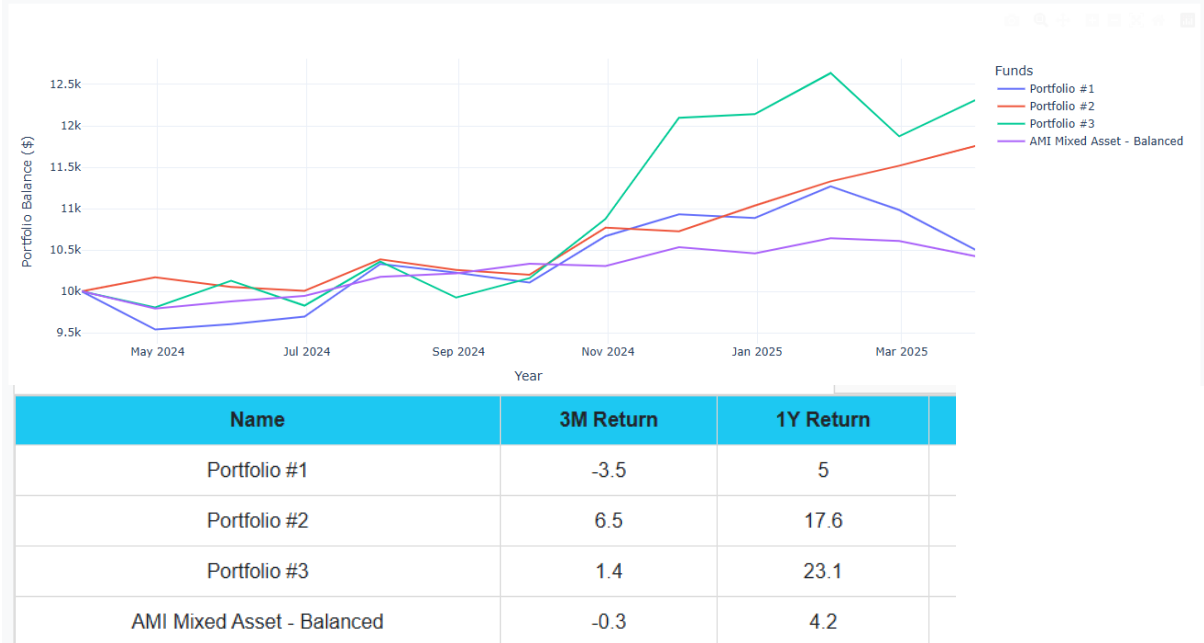
All the above strategies are structured as daily priced, liquid vehicles, enabling seamless integration alongside listed ETFs. This ensures that ##### can access the benefits of true alternative strategies within a liquid portfolio framework, maintaining flexibility for rebalancing or tactical adjustments as needed.

In our view, these types of funds present a pragmatic and accessible way to incorporate genuine alternative exposures into the portfolio, addressing the traditional limitations of liquidity and accessibility often associated with the alternative's universe in the ETF space.

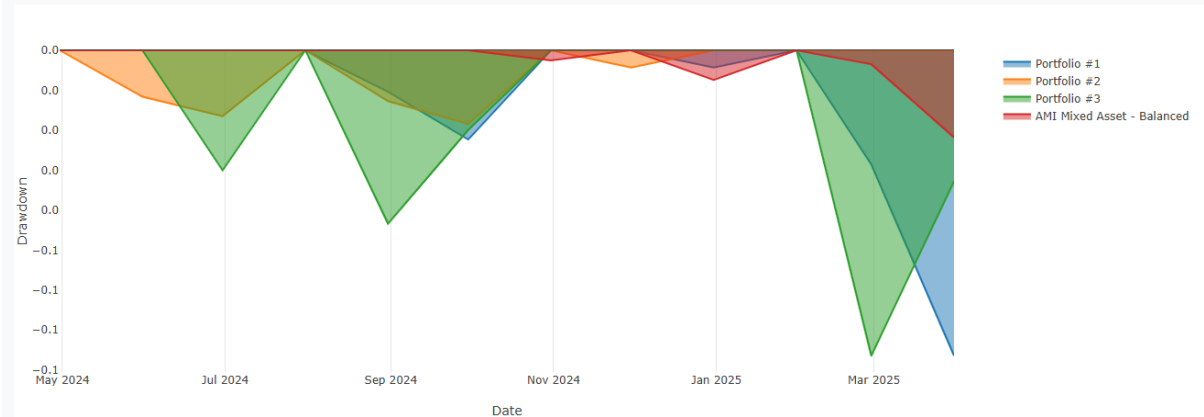
Analysis – Current Portfolio vs Managed Funds Adoption

Portfolio 1 = Current Alternatives Sleeve (CURE, RBTZ, MOAT, GOLD)
Portfolio 2 = Managed Funds Alternatives Sleeve Options (Gold, Talaria, Franklin K2, P/E Global Alpha)
Portfolio 3 = ETF Alternatives Sleeve Options (GOLD, EBTC, LSF, JEPI)

Portfolio Growth:



Drawdowns



Multi-Statistic Metrics

Metrics	Portfolio #1	Portfolio #2	Portfolio #3
Periods	1.0	1.0	1.0
Return	5.0%	17.6%	23.1%
Volatility	3.4%	2.1%	4.8%
Maximum Drawdown	-7.6%	-1.8%	-7.7%
Benchmark Correlation	0.73	-0.2	0.46
Beta	1.19	0.53	1.48
Alpha	0.8%	13.2%	19.0%
Sharpe Ratio	0.17	6.33	3.88

- Over the past year, Portfolio #3 (ETF Alternatives Sleeve) has delivered the highest return (23.1%), followed by Portfolio #2 (Managed Funds Alternatives Sleeve) at 17.6%, both comfortably outperforming Portfolio #1 (Current Alternatives Sleeve).
- While Portfolio #3 showed impressive capital growth, it also experienced the highest volatility (4.8%) and deepest drawdown (−7.7%), indicating more significant fluctuations and risk exposure.
- In contrast, Portfolio #2 combined strong performance with the lowest volatility (2.1%) and minimal drawdown (−1.8%), reflecting strong downside protection and consistent risk-adjusted outcomes.
- Portfolio #1 lagged with a 5% return and relatively higher volatility (3.4%)
- From a risk-adjusted performance perspective, Portfolio #2 stands out with the highest Sharpe ratio (6.33) and strong alpha generation (13.2%).
- Portfolio #3 also demonstrated a strong alpha profile (19%) but lower risk-adjusted efficiency (Sharpe 3.88) due to elevated drawdowns and beta (1.48), indicating greater sensitivity to broader market moves.
- Portfolio #1, by contrast, offered minimal alpha (0.8%) and low Sharpe (0.17), reflecting lower reward for its level of risk.

Conclusion and Next Steps

Overall, Portfolio #2 (Managed Funds Option) offers the most compelling balance of performance consistency, downside resilience, and active alpha generation within the alternatives sleeve. Its diversified construction and access to high-conviction, actively managed strategies position it favourably compared to a purely ETF-based approach.

Atchison recommends that the Investment Committee (IC) consider incorporating managed funds into the portfolio framework, rather than relying exclusively on ETFs. This would meaningfully broaden the opportunity set, enabling access to strategies and asset classes that are not efficiently captured via listed products, while also enhancing diversification across risk and return drivers.

That said, Atchison notes that managed funds introduce additional complexities which the committee should weigh carefully. These include reduced trading flexibility, with longer settlement cycles and potential delays in both application and redemption processes. On exit, there is typically a lag in the receipt of sale proceeds, which may impact short-term liquidity management. Furthermore, managed funds generally carry higher management costs, which will incrementally increase the portfolio's total fee load.

In summary, while managed funds offer a more sophisticated and potentially more resilient alternatives allocation, their inclusion should be accompanied by a clear understanding of the operational trade-offs involved.

MNRS ETF

MNRS ETF – Overview

MNRS aims to track the performance of an index (before fees and expenses) that comprises the largest global gold mining companies (ex-Australia), hedged into Australian dollars.

MNRS ETF – Key Facts

- **Management Fee:** 0.57% p.a.
- **Distribution Frequency:** Semi-annual
- **Issuer:** Betashares Capital Ltd
- **Net Assets:** \$92,031,181 (as at 12 May 2025)
- **Index:** Nasdaq Global ex-Australia Gold Miners Hedged AUD Index
- **Index Provider:** Nasdaq
- **Market Makers:** Susquehanna Pacific

Historic Underperformance of Gold Miners

Despite offering theoretical leverage to rising gold prices, gold miners have consistently underperformed both physical gold and broader equity indices over multiple cycles. Over the past two decades, the performance gap has been stark:

- Gold (physical): +300% (approx. since 2004)
- GDX (global miners ETF proxy): +30% (over same period)

What have been the key drivers of this underperformance?

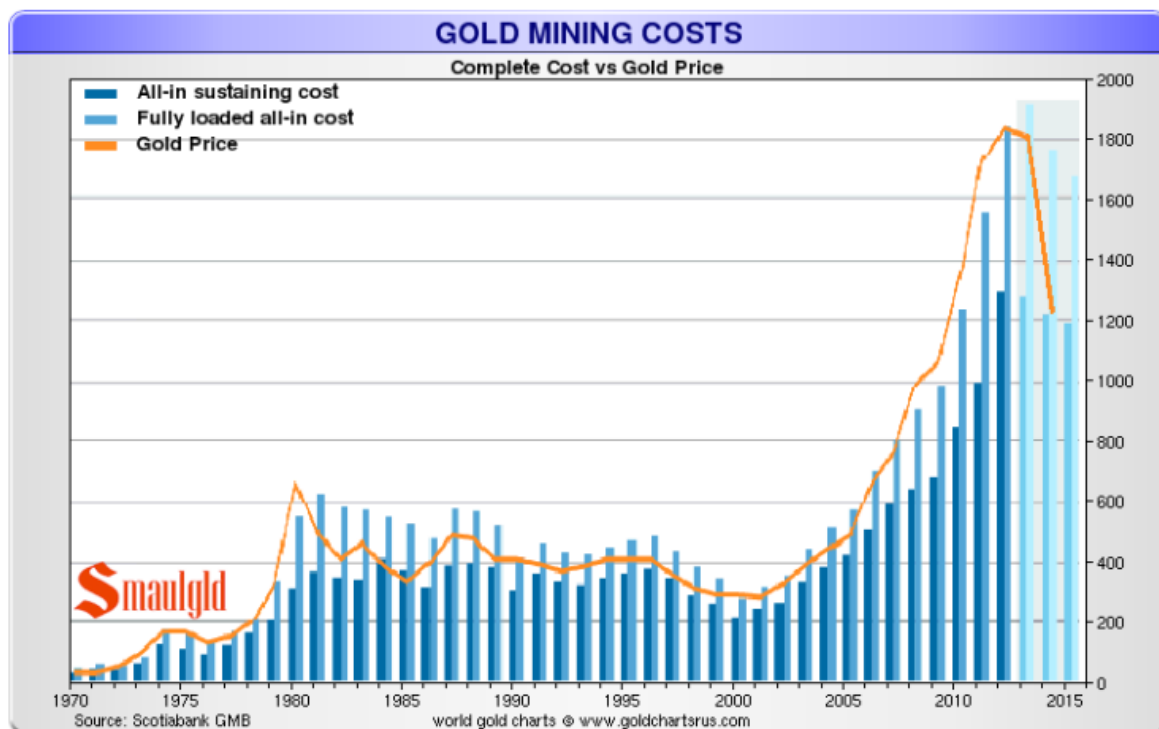
Poor Capital Management: One of the defining reasons for the long-term underperformance of gold miners has been poor capital allocation, particularly during periods of high gold prices. In the 2000s bull market, many mining companies pursued aggressive growth strategies—acquiring assets at inflated prices and undertaking costly expansions. These moves often proved value-destructive when gold prices later fell, leaving shareholders with diluted positions and weaker balance sheets.

- Over US\$85bn in write-downs occurred across the top 20 gold miners globally from 2011 to 2014.

Cost Inflation and Margin Compression: Gold miners operate in a cost-heavy industry, and during strong gold price environments, input costs such as labour, fuel, and equipment tend to rise in parallel. This leads to margin compression, especially for less efficient producers. In previous cycles, many companies failed to contain costs effectively, meaning that higher gold prices did not translate into proportionally higher profits.

- Historical data shows that during the 2010–2013 period, All In Sustaining Costs (AISC) rose sharply from ~\$600/oz to over \$1,200/oz, despite a rising gold price, due to cost inflation in labour, diesel, and mining services.
- Many companies failed to control these costs effectively or locked themselves into inefficient operational models, the sector's earnings growth lagged the price of gold itself.

Investor Preference Shift and ESG Headwinds : Since the launch of gold exchange-traded funds (ETFs) like GLD, investors seeking exposure to gold have increasingly favoured the simplicity and purity of physical gold holdings. Physical ETFs avoid the operational risks and ESG concerns inherent in mining operations. These concerns—particularly around environmental degradation and Indigenous rights—have also led many institutional investors to exclude gold miners from portfolios, further weighing on valuations.



MNRS ETF – Performance over the last 12 months

Customise Columns	1m	3m	6m	1yr	Ann. 3yr	Ann. 5yr
BetaShares Global Gold Miners Currency Hedged ETF TR in AU	3.6%	20.8%	20.7%	49.9%	12.5%	8.7%
BlackRock IShares Physical Gold ETF Dis AUD TR in AU	3.2%	14.4%	23.5%	45.0%		
Global X Physical Gold TR in AU	3.2%	14.4%	23.4%	44.7%	23.8%	14.2%

Over the last year, gold prices have rallied to record highs, driven by persistent inflation, geopolitical instability, and ongoing central bank accumulation. Gold miners have benefitted from this environment through strong revenue growth, as their operating costs have remained relatively fixed. This dynamic has significantly boosted profit margins across the sector, particularly among low-cost producers.

In contrast to past cycles, gold miners have become more disciplined in managing capital and prioritising shareholder returns. Many companies have focused on repaying debt, maintaining low-cost operations, and initiating dividends and buybacks. This shift in governance and financial management has restored some investor confidence and contributed to the rerating of mining equities.

The BetaShares Global Gold Miners Currency Hedged ETF (MNRS) has specifically benefitted from its currency hedging structure. As the Australian dollar strengthened modestly during parts of the year, the hedged exposure protected returns that would otherwise have been eroded by foreign exchange movements. This feature has been particularly attractive to Australian investors seeking more predictable outcomes.

MNRS ETF – Performance over the last 12 months

The BetaShares Global Gold Miners Currency Hedged ETF (ASX: MNRS) offers investors indirect but leveraged exposure to the gold price through a portfolio of global gold mining companies. Unlike physical gold, which tracks the spot price 1:1, gold miners exhibit operational leverage—meaning their earnings and share prices typically rise (or fall) by a greater percentage than the change in the underlying gold price. This occurs because miners' revenues are directly tied to the gold price, while many of their costs—such as labour, energy, and maintenance—are relatively fixed in the short term. As gold prices rise, profit margins can expand rapidly, amplifying earnings growth and, in turn, share price appreciation. This embedded leverage can make MNRS more volatile than physical gold, offering higher upside potential during bull markets but also sharper drawdowns when gold prices retreat or when miners face operational or geopolitical challenges. Therefore, while MNRS is not "leveraged" in the traditional financial sense (i.e. using borrowed capital), it behaves like a naturally leveraged play on gold due to the economics of mining operations.

MNRS ETF – Top 10 Holdings and Geographic Exposure

Ticker	Name	Weight 30 April 2025
NEM UN	Newmont Corp	8.03%
WPM CT	Wheaton Precious Metals Corp	7.72%
FNV CT	Franco-Nevada Corp	7.50%
AEM CT	Agnico Eagle Mines Ltd	7.46%
ABX CT	Barrick Gold Corp	6.93%
ANG SJ	Anglogold Ashanti Plc	4.83%
K CT	Kinross Gold Corp	4.32%
2899 HK	Zijin Mining Group Co Ltd	4.07%
GFI SJ	Gold Fields Ltd	3.95%
AGI CT	Alamos Gold Inc	3.68%

Country	Weight 30 April 2025
Canada	47.8%
United States	13.7%
South Africa	10.9%
Brazil	7.8%
China	5.8%
Britain	4.8%
Burkina Faso	3.1%
South Korea	2.7%
Turkey	1.2%
Other	2.3%

Conclusion

While there may be smaller gold miners that have untouched gold deposits, the performance of the VanEck Gold Miners ETF (MNRS) suggests that large-cap producers have thus far kept pace with rising gold prices, even outperforming the metal itself during the recent rally. However, Atchison would approach investment in MNRS with caution, given the historical tendency of gold miners — particularly large-scale operators with high fixed costs — to underperform following peak gold cycles. As gold prices retreat, these companies often struggle to maintain margins, leading to a lag in performance relative to the underlying commodity.

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